Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com (BM) DEGREE EXAMINATION – APRIL 2021

BM409 - CORPORATE ACCOUNTING - II

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is the nature of "goodwill"?
2. Write short note on "super profit".
3. Who are preferential creditors?
4. Write a note on "contributory".
5. Write a note on 'abnormal losses'.
6. Write a short note on 'Minority Interest'.
7. Write a note on 'Non Banking Assets'.
8. What is 'Statutory Reserve'?
9. Write short notes on 'Current Cost Accounting method'.
10. What are 'conversion factors'?

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. Calculate the amount of goodwill in the following case, on the basis of three years' purchase of the last four years' average profit. The profits and losses for the last four years are:

Year	Rs.
1995	10,000
1996	16,000
1997	6,000 (Loss)
1998	12,000

12. The following particulars relate to a limited company which went into voluntary liquidation:

	Rs.
Preferential creditors	25,000
Unsecured creditors	58,000
6% debentures	30,000

The assets realized Rs. 80,000. The expenses of liquidation amounted to Rs. 1500 and the liquidator's remuneration was agreed at 2.5% on the amount realized and 2% on the amount paid to unsecured creditors including preferential creditors.

Show the liquidator's final statement of account.

13. Explain the steps involved in preparation of consolidated balance sheet.

14. As on 31st December 1985, the books of the Hercules bank, include among others, the following balances.

	Rs.
Rebate on bills discounted (1.1.1985)	3,20,000
Discount received	46,00,000
Bills discounted and purchased	3,15,47,000

Throughout 1985, the bank's rate for discounting has been 18% .

On investigation and analysis, the average due date for the bills discounted and purchased is calculated as 14th February 1986.

Show the calculation of the amount to be credited to the banks profit and loss a/c. under discount earned for the year 1985. Show also the journal entries required to adjust the above mentioned accounts.

15. From the following details compute appropriate conversion factors.

a) General price index numbers – opening 200; closing 300; average for the year 240.

b) General price index numbers – at the end of the year 200. On the date of acquiring an item of stock 120. On the date of acquiring an asset 150.

16. From the following information, calculate the cost of sales adjustments (COSA) under CCA method.

Particulars	Historical cost	Index for goods
Opening stock	4,00,000	200
Purchase	14,40,000	240(average)
	18,40,000	
Less: closing stock	6,72,000	280
	11,68,000	

17. Enumerate the factors that affect the valuation of shares.

SECTION – C (3X10 = 30)

Answer any THREE questions

18. On 31st December 1998, the balance sheet of Ganesh ltd. was as follows:

Liabilities	**Rs.**	**Assets**	**Rs.**
Share capital: 15000 equity shares of Rs. 100 each fully paid	15,00,000	Land & buildings	6,60,000
Profit & loss a/c	3,09,000	Plant & machinery	2,85,000
Sundry creditors	2,31,000	stock	10,50,000
Bank overdraft	60,000	Sundry debtors	4,65,000
Provision for taxation	1,35,000		
Dividend equalization fund	2,25,000		
	24,60,000		24,60,000

The net profit of the company, after deducting all working charges and providing for depreciation and taxation were as follows:

1994- Rs. 2,55,000; 1995 – Rs. 2,88,000; 1996 – Rs.2,70,000; 1997 – Rs.3,00,000; and 1998 – Rs. 2,85,000.

On 31st December 1998, Land & building were valued at Rs. 7,50,000 and plant & machinery at Rs. 4,50,000.

In view of the nature of the business, it is considered that 10% is a reasonable return on capital.

Calculate the value of the company's shares after taking into account the revised values on fixed assets and your own valuation of goodwill based on four years purchase of the annual super profits.

19. Given below is the balance sheet of XYZ ltd. as on 1.8.1998 on which dates it goes into liquidation:

Liabilities	**Rs.**	**Rs.**	**Assets**	**Rs.**	**Rs.**
Share capital: 10,000 preference shares of Rs. 10 each, fully paid		1,00,000	Cash at bank		5,000
5000 equity shares of Rs. 10 each fully called	50,000		Stock on raw material		50,000
Less: calls in arrears on 1000 shares @ Rs. 1 per share	1000	49000	Other stocks		1,50,000
10000 equity shares of Rs. 10 each, Rs. 5 per share paid		50,000	Other assets		1,45,000
20,000 equity shares of Rs. 10 each, Rs. 3 per share		60,000	Profit & loss a/c (debit balance)		50,000
Secured loan from bank: against pledge of stock of raw materials		38,000			
Unsecured dues: Preference	1,200				
Others	101800	1,03,000			
		4,00,000			4,00,000

The assets were realized as under:

i) Stock of raw material realized by bank Rs. 30,000.

ii) Other stocks Rs. 80,000

iii) Remaining assets Rs. 20,000.

The liquidation is entitled to a fixed remuneration of Rs. 2000 plus 2% of the Gross amounts realized by him. Other costs and charges amounted to Rs. 11,000. Equity shares carry the same rights, regardless of the amount paid, as far as capital repayment is concerned.

Show the liquidator's final statement of account.

20. L.G. ltd acquired 90% of the equity shares in D.R. ltd on June 30 1985 at cost of Rs. 6,00,000. No balance sheet was prepared at the date of acquisition. The balance sheet of D.R.ltd as at December 31 1984 and 1985 were as follows:

Liabilities	1984	1985	Assets	1984	1985
Share capital: 20,000 equity shares of Rs. 10 each	2,00,000	2,00,000	Sundry assets	6,00,000	7,56,000
Revenue reserves	4,00,000	4,40,000	Goodwill	1,00,000	1,00,000
Profit & loss a/c	1,00,000	1,74,000			
Proposed dividend	-	42,000			
	7,00,000	8,56,000		7,00,000	8,56,000

L.G ltd balance sheet on 31.12.85 was as under :

Liabilities	Rs.	Assets	Rs.
2,00,000 equity shares of Rs.10 each	20,00,000	Net assets	30,00,000
Capital reserves	2,00,000	Investments: 18000 equity shares of Rs. 10 each on D.R ltd	6,00,000
General reserve	10,00,000		
Profit & loss a/c	4,00,000		
	36,00,000		36,00,000

L.G ltd has not passed entries for the dividend proposed by D.R ltd .

Prepare consolidated balance sheet of L.G ltd and its subsidiary D.R ltd as on 31st December 1985.

21. Some of the items in the trial balance of Modern Bank Limited as on December 31, 1982 were as follows:

Particulars	Rs.	Particulars	Rs.
Loans and advances	71,50,000	Printing and stationery	4,500
Current accounts(including overdraft of Rs. 15,00,000)	66,00,000	Int.on.savings bank deposits	75,000
Bills discounted and purchased	19,20,000	Auditors' fees	5,000
Interest on fixed deposits	1,55,000	Directors' fees	2,500
Interest on loans	2,25,000	Interest on overdrafts	95,000
Discount (subject to unexpired discounts Rs. 30,000)	2,01,000	Provision for bad debts, January 1, 1982	42,000
Interest on cash credits	1,05,000	Bad debts	21,000
Commission earned	46,500	Provision for income tax, January 1, 1982	66,000
Loss on sale of investments	34,000	Income tax paid for 1982	54,000
Salaries and allowances	82,000		

You are required to prepare the profit and loss account of the bank, maintaining the provision for income tax at Rs. 84,000 and provision for bad debts at Rs. 52,000 for the year ended December 31, 1982.

22. What is CPP method? Explain the steps in finalizing accounts under CPP method of inflation accounting?

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